EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley called the Itawes Region and composed of 32 barangays. The Municipality which is under the third Congressional District of Cagayan has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2018, the Municipality of Tuao had a total of 313 personnel complement, consisting of 55 permanent, 12 elective, 6 co-terminus, 13 casual, 9 consultants, 10 contract of service and 208 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

	2018	2017	Increase (Decrease)
Financial Position			
Total Assets	438,848,131.88	342,802,763.97	96,045,367.91
Total Liabilities	92,676,394.95	43,602,894.18	49,073,500.77
Total Government Equity	346,171,736.93	299,199,869.79	46,971,867.14
Financial Performance			
Total Income	182,149,637.10	169,086,694.85	13,062,942.25
Total Expenses	133,862,653.60	127,582,393.46	6,280,260.14
Appropriations, Allotments and Obligations			
Total Appropriations – Current	173,930,662.24	317,347,170.49	(143,416,508.25)
Total Obligations –	116,690,982.47	135,214,886.11	(18,523,903.64)

Current			
Total Appropriations – Continuing	57,378,384.00	56,951,950.51	426,433.49
Total Obligations - Continuing	9,586,632.97	22,970,079.33	(13,383,446.36)

The table below presents the fund transfers received by the Municipality from other agencies totaling P38,307,020.00, with comparative figures for CY 2017. There were no funds transferred to other agencies during the year.

	2018	**2017**	**Increase (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	37,257,020.00	37,316,900.00	(59,880.00)
Local Government Units	1,000,000.00	87,000.00	913,000.00
Government Owned and Controlled Corporations	50,000.00	-	50,000.00
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	51,200.00	(51,200.00)
Total	**38,307,020.00**	**37,455,100.00**	**851,920.00**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2018 of Tuao, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 5, 2019:

1. The reliability, accuracy and existence of the Property, Plant and Equipment, with a net carrying value amounting to P216,544,731.90, representing 28.68% of the total assets could not be ascertained because Management did not conduct physical count of PPE and submit the yearly Report on the Physical Count of

Property, Plant and Equipment (RPCPPE) and the Municipal General Services Officer and Accountant did not maintain Property Cards, and Property Equipment Ledger Cards and Real Property Ledger Cards, respectively, contrary to Sections 119, 120 and 124 of the New Government Accounting System (NGAS) for LGU, Volume I.

We recommended that the Inventory Committee conduct yearly physical inventory of PPE and submit the RPCPPE on or before January 31 of each year. The Committee should also reconcile the report of inventory against the accounting records to determine the correctness of both balances.
We further recommended that the Management instruct the Property and Accounting Sections to maintain and update the property cards and PPE ledger cards, respectively, and reconcile their records. Likewise, Acknowledgement Receipt for Equipment should be issued every time there is an acquisition and transfer of the properties from one accountable officer to another to pinpoint property accountability and responsibility.

2. Cash advances for payment of salaries of LGU employees were not supported by duly approved payrolls, contrary to Item 4.2 of COA Circular 97-002 dated February 10, 1997, thereby, allowing a high amount of excess cash in the custody of the Cashier-Designate.
   In view of the foregoing, we recommended the following to the Management:

   1. To require the Accounting Office to strictly observe the submission of the payroll prior to the processing of the cash advances for salaries and to ensure that the amount of DV for checking shall be equal to the net amount of the payroll for a pay period;

   2. To instruct the Cashier-Designate to ensure proper disbursement of cash on pay day, and refund immediately any excess of his cash advances; and

   3. Moving forward, for the LGU to consider embracing the automation of its payroll system in order to be adoptive in the changes of time. The automation of the payroll system ensures the efficiency and effectiveness of the payment of salaries to its employees. It is very simple, affordable and inexpensive considering the proximity of one of its authorized depository banks to the Municipal Hall.

3. Receivables and Deferred Income account balances of Real Property Tax and Special Education Tax (RPT/SET) of P2,971,841.51 and P1,773,518.53, respectively, were unreliable due to non-setting-up of RPT and SET receivables and inaccurate recording of collections, contrary to Paragraph 27 of International Public Sector Accounting Standards 1 (IPSAS) and Section 20 of the NGAS Manual, Volume I. Thus, may affect the fair presentation of the accounts in the Financial Statements.
   In view of the foregoing, we recommended the following to the Management:

1. Require the Municipal Treasurer to furnish the Municipal Accountant a duly signed certified list showing the name of taxpayers and the amount due and collectible every beginning of the year for recording purposes; and

2. Instruct the Municipal Accountant to draw a JEV to record the RPT/SET receivables based on the certified list from the Office of the Treasurer and ensure that the recorded receivables are based on actual reference documents.

4. The Municipality disbursed the total amount of P495,000.00 for the payment of three (3) Legal Consultants who were hired without the conformity of the Solicitor General and the concurrence of the Commission on Audit, which is not in accordance with COA Circular No. 98-002 dated June 9, 1998, thereby incurring irregular expenditures as defined under Item 3.0 of COA Circular No. 2012-003 dated October 29, 2012.

   During CY 2018, the amount of ₱690,000.00 was also incurred for the payment of services rendered by seven (7) consultants, the procurement of which was not properly done through bidding process and their services rendered were unnecessary as defined in Item 4.0 of COA Circular No. 2012-003 dated October 29, 2012 and is not in accordance with Section 24.3 of the IRR of RA 9184, respectively.

   We recommended that the Management explain and justify the hiring of legal consultants without the required conformity and concurrence of the Solicitor General and Commission on Audit, respectively, and of other consultants the services rendered of which were duplication of the functions of the agency regular department heads. We also recommended that the Management adhere strictly to the rules and regulations on the procurement of consulting services provided for under COA Circular No. 98-002 dated June 9, 1998 and Section 24.3, IRR-A of RA 9184; and use the prescribed standard contract form for consulting services annexed in the COA-PTTF Contract Review Manual.

5. The Municipality did not include a specific budget for the increase of salaries of employees in its 2016, 2017 and 2018 Annual Budget contrary to Section 11 of Executive Order No. 201, series of 2016, dated February 19, 2016. Thus, deprived the employees the benefits that could be derived from the increase of salaries since 2016.
   We recommended that the Management implement the 2016 Salary Standardization Law in compliance with Section 11 of Executive Order No. 201, series of 2016 dated February 19, 2016.

E. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Notices of Disallowance and Notices of Charge issued to the Municipality.

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 28 audit recommendations embodied in the prior years' Annual Audit Report, eight (8) were implemented, 12 were partially implemented and eight (8) were not implemented.